

ASE Holdings (3711 TT)

Margin Inflection Driven by LEAP and Price Hike

Maintained **Buy**
Target price NT\$ 805

Raise TP to NT\$805: ASE shares outperformed Taiex by 19%/52% in the past 1 and 3 months but pulled back post the dividend. Despite this, we continue to see upside in its LEAP business, driven by Full Process and oS/CP, which we now forecast at US\$3.6bn/US\$6.4bn in 2026E/2027E. In addition, we have observed aggressive price hikes across both high-end and low-end packaging products, supporting margin expansion through 2H26–2027. Structurally, we expect the OSAT upcycle to persist, underpinned by leading-edge demand, a recovery in traditional segments (helped by mature node recovery), and broad-based pricing actions, all contributing to a favorable margin shift. By incorporating stronger LEAP contributions and price increases, we revise our EPS estimates by +4%/+21% for 2026E/2027E and raise our TP from NT\$553 to NT\$805, based on 30x 2027E P/E.

LEAP business to be \$3.6bn/\$6.4bn in 2026E/2027E: According to ASE's AGM on June 24, mgmt. indicated upside to its already raised 2026 capex guidance backed by solid demand. Hence, we raised LEAP revenue to \$3.6bn/\$6.4bn in 2026E/2027E, or 22%/30% of ATM revenue, driven by: 1) Full Process on higher AMD's Venice CPU builds (5.0~5.5m for all suppliers) and Nvidia's Vera CPU (2027) on capacity of 15KPM/45KPM/55KPM by end-2026/2027/2028 (vs. prior 15KPM/40KPM/50KPM); 2) TSMC's oS/CP outsourcing; and 3) Final test on Trainium 3 and MTK's TPU.

Price hikes for both advanced and traditional packaging: Following ASE's AGM on June 24, where the company commented on pricing, we believe its advanced packaging services — including CoWoS and FOCoS — will see selective price increases of 10–20%, particularly for products where customers are seeking shorter lead times. For traditional back-end, driven by mature node foundry UTR recovery on demand of servers/industrial/automotive, we expect ~10% price hike for most applications mainly to cover cost inflation, while the price hike of some low-end products, multiples higher, could be accretive to margins.

Risks: 1) AI slowdown; 2) consumer demand; 3) peer competition; 4) capacity delay.

Profit forecast

	2024	2025	2026E	2027E	2028E
Revenue (m)	595,410	645,388	790,064	965,797	1,097,400
Revenue YoY (%)	2.3	8.4	22.4	22.2	13.6
Net profit (m)	32,482	40,658	73,975	117,143	146,725
Net profit YoY (%)	2.4	25.2	81.9	58.4	25.3
EPS (NT\$)	7.4	9.4	16.9	26.8	33.6
P/E	92.3	72.6	40.1	25.3	20.2
ROE (%)	9.4	10.9	17.6	23.9	26.0

Source: Company data, GF Securities (Hong Kong) Brokerage.

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Jeff Pu, CFA

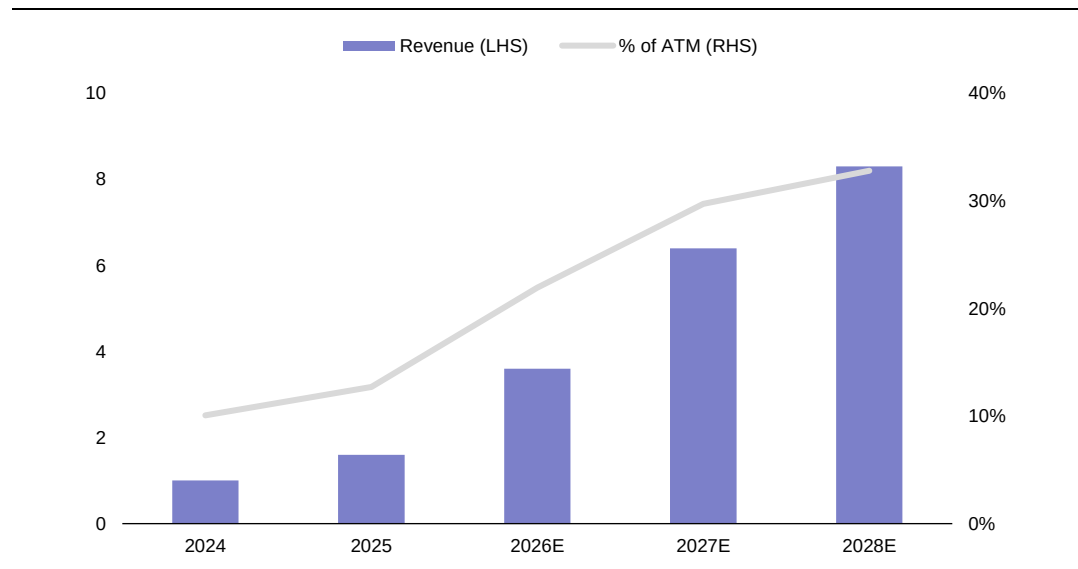
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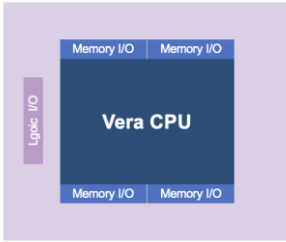
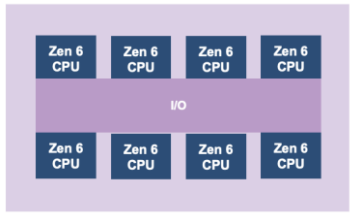
Earnings Forecast

Figure 1: ASE's LEAP revenue (USD bn)



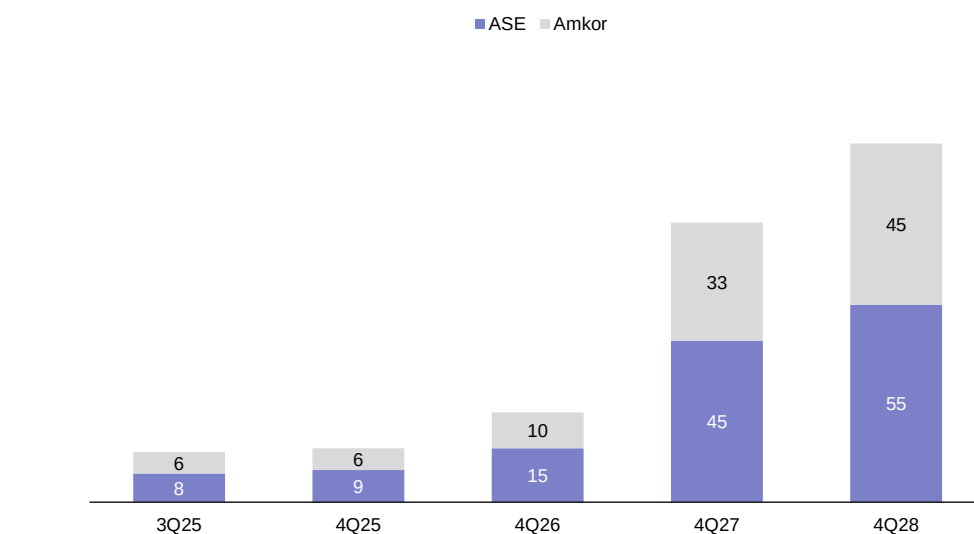
Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: CoWoS based Nvidia's Vera CPU and AMD's Venice CPU

	NVIDIA Vera CPU	AMD Venice CPU
Architecture	Arm v9.2	x86 (Zen 6 Cores)
Core Count	88 cores	Up to 256 cores
Threads	176	Up to 512
Process Node	TSMC N3/N4	TSMC N2/N3
Memory Bandwidth	1.2 TB/s	1.6 TB/s
Packaging Type	CoWoS-R	CoWoS-L
Key Features	1.8 TB/s NVLink-C2C 1.5 TB/s System Memory (3x Grace)	2x CPU to GPU bandwidth & 1.7x overall performance vs. Turin (Zen 5)
Layout		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: ASE/SPIL, Amkor CoWoS Capacity Forecast (kwpm)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings Revision

By factoring in higher LEAP business and price hikes, we revise our EPS estimates by +4%/+21% in 2026E/2027E.

Figure 4: Earnings revision

NTD m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	645,388	784,172	790,064	929,165	965,797	1%	4%
Gross profit	114,193	165,769	169,742	211,866	238,795	2%	13%
EBIT	50,756	88,851	93,224	121,466	149,195	5%	23%
Pre-tax Income	51,301	91,156	94,321	123,651	149,366	3%	21%
Net profit	40,658	71,418	73,975	96,573	117,143	4%	21%
EPS (NT\$)	9.35	16.36	16.94	22.12	26.83	4%	21%
Key ratios (%)							
Gross margin	17.7%	21.1%	21.5%	22.8%	24.7%		
Operating margin	7.9%	11.3%	11.8%	13.1%	15.4%		
Pre-tax margin	7.9%	11.6%	11.9%	13.3%	15.5%		
Net profit margin	6.3%	9.1%	9.4%	10.4%	12.1%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 5: ASE's P&L forecast

(NTD m)	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Sales	645,388	173,662	189,570	209,273	217,559	790,064	213,653	232,599	257,569	261,975	965,797
COGS	531,194	138,812	149,591	164,052	167,867	620,322	163,492	174,917	192,887	195,705	727,001
Gross profit	114,193	34,850	39,979	45,221	49,692	169,742	50,161	57,682	64,682	66,270	238,795
Opex	(63,437)	-17,318	-18,300	-20,100	-20,800	-76,518	-20,600	-21,500	-23,400	-24,100	-89,600
Operating profit	50,756	17,532	21,679	25,121	28,892	93,224	29,561	36,182	41,282	42,170	149,195
Non-op profit	545	668	146	146	138	1,097	43	43	43	43	171
Pre-tax profit	51,301	18,200	21,825	25,267	29,029	94,321	29,604	36,225	41,325	42,213	149,366
Income tax	(9,460)	-3,635	-4,365	-4,801	-5,516	-18,317	-5,921	-7,245	-8,265	-8,443	-29,873
Minority interest	(1,182)	-417	-457	-637	-517	-2,030	-497	-537	-717	-597	-2,350
Net Income	40,658	14,148	17,002	19,829	22,996	73,975	23,186	28,442	32,343	33,173	117,143
EPS (NT\$)	9.4	3.2	3.9	4.5	5.3	16.9	5.3	6.5	7.4	7.6	26.8
Outstanding shares	4,347	4,366	4,366	4,366	4,366	4,366	4,366	4,366	4,366	4,366	4,366
Margin analysis											
Gross margin	17.7%	20.1%	21.1%	21.6%	22.8%	21.5%	23.5%	24.8%	25.1%	25.3%	24.7%
Operating margin	7.9%	10.1%	11.4%	12.0%	13.3%	11.8%	13.8%	15.6%	16.0%	16.1%	15.4%
Pre-tax margin	7.9%	10.5%	11.5%	12.1%	13.3%	11.9%	13.9%	15.6%	16.0%	16.1%	15.5%
Effective tax rate	18.4%	20.0%	20.0%	19.0%	19.0%	19.4%	20.0%	20.0%	20.0%	20.0%	20.0%
Growth (YoY%)											
Sales	8%	17%	26%	24%	22%	22%	23%	23%	23%	20%	22%
Operating profit	30%	81%	113%	90%	63%	84%	69%	67%	64%	46%	60%
Net income	25%	87%	126%	82%	56%	82%	64%	67%	63%	44%	58%
EPS	27%	86%	124%	81%	56%	81%	64%	67%	63%	44%	58%
Product mix (%)											
ATM	60%	63%	65%	65%	66%	65%	69%	71%	70%	70%	70%
EMS	40%	35%	34%	35%	34%	35%	31%	29%	30%	30%	30%
Others	0%	1%	0%	0%	0%	1%	0%	0%	0%	0%	0%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Valuation and Recommendation

Maintain Buy with TP of NT\$805

We rate ASE (3711 TT) Buy and set our TP at NT\$805 which is based on 30x our 2027E EPS estimate, or 24x 2028E EPS. We adopt 2027 as valuation basis to capture its robust LEAP business potential which is the key market focus and is expected to see aggressive capacity expansion. We adopt P/E methodology as we believe the market now mainly focuses on the company's earnings outlook.

The ASE/SPIL is the highest-quality OSAT and NO.1 in market share worldwide, backed by superior operational management, M&As, economies of scale, and customer/product diversification. We like ASE as we view it as an AI beneficiary with increasing margin-accretive AI/LEAP business in 2026 and beyond. We believe the business will be driven by oS and CP in 2026, with emerging driver of full process business ramping in 2H26.

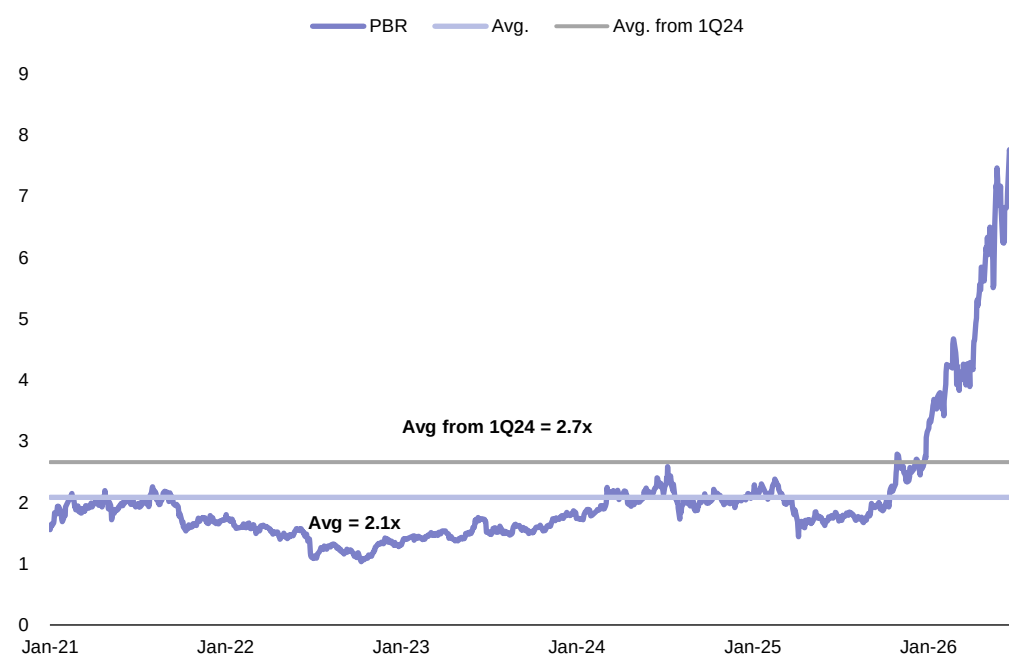
ASE's P/E traded at an average of 14x since 2021 but was up to an average of 19x since 1Q24 when the company meaningfully started AI business. We derive our target price based on 30x P/E, which is meaningfully higher than the mid-cycle level given its fast-growing AI momentum.

Figure 6: ASE's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 7: ASE's 12-month forward P/B



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) AI slowdown; 2) consumer demand; 3) peer competition; 4) capacity delay.

Balance Sheet					NTD mn
	2024	2025	2026E	2027E	2028E
Current assets	275,285	313,795	336,445	389,220	431,449
Cash and cash equivalents	84,883	100,223	78,699	78,014	79,829
Inventory	57,314	65,673	76,692	89,881	100,137
Accounts Receivable	113,420	125,042	153,073	187,121	212,618
Other current assets	19,668	22,857	27,981	34,204	38,865
Non-current assets	465,413	575,538	788,254	1,016,039	1,202,190
Long-term equity investment	37,118	41,569	43,569	45,569	47,569
Fixed assets	312,531	421,115	631,831	857,615	1,041,767
Other long-term assets	115,763	112,854	112,854	112,854	112,854
Total assets	740,698	889,333	1,124,699	1,405,259	1,633,640
Current liabilities	230,940	244,349	324,776	406,085	467,040
Accounts Payable	78,221	88,754	103,646	121,470	135,330
Short-term borrowings	53,872	40,734	80,521	112,730	136,403
Other current liabilities	98,847	114,861	140,609	171,885	195,306
Non-current liabilities	163,972	271,617	379,622	508,456	603,149
Long-term Debt	139,728	214,081	322,085	450,919	545,613
Other non-current liabilities	24,243	57,536	57,536	57,536	57,536
Total liabilities	394,911	515,966	704,398	914,541	1,070,189
Total Equity	345,787	373,368	420,301	490,719	563,451
Share Capital	44,153	44,480	44,480	44,480	44,480
Additional Paid-in Capital	155,424	162,249	162,249	162,249	162,249
Retained earnings	123,947	140,171	187,104	257,522	330,255
Preferred Stocks	22,264	26,468	26,468	26,468	26,468
Total Liabilities & Equity	740,698	889,333	1,124,699	1,405,259	1,633,640

Income Statement					NTD mn
	2024	2025	2026E	2027E	2028E
Revenue	595,410	645,388	790,064	965,797	1,097,400
Cost of sales	498,478	531,195	620,322	727,001	809,954
Gross profit	96,932	114,193	169,742	238,795	287,446
Operating Expense	57,765	63,437	76,518	89,600	99,800
Operating profit	39,166	50,756	93,224	149,195	187,646
Interest Income	6,777	7,503	8,218	10,629	13,702
Interest Expense	868	814	2,828	2,800	2,800
Net other Non-op. Income/(Loss)	-5,128	-7,772	-4,293	-7,658	-11,804
Pre-tax profit	41,683	51,301	94,321	149,366	186,744
Income tax	6,315	8,278	18,317	29,873	37,349
Profit for the year	35,369	43,023	76,005	119,493	149,395
Minority interest	-1,443	-1,182	-2,030	-2,350	-2,670
Net profit to ord. equity	32,482	40,658	73,975	117,143	146,725
EPS (NT\$)	7.4	9.4	16.9	26.8	33.6

Cash Flow Statement					NTD mn
	2024	2025	2026E	2027E	2028E
Operating cash flow	114,867	110,661	141,398	197,048	238,306
Profit for the year	32,482	40,658	73,975	117,143	146,725
Depreciation & amortization	59,815	67,440	73,784	87,065	97,513
Change in working capital	23,437	3,377	-3,533	-4,361	-3,133
Others	-868	-814	-2,828	-2,800	-2,800
Investing cash flow	-119,132	-176,752	-283,672	-312,050	-280,865
Capex	-103,715	-172,191	-284,500	-312,850	-281,665
Change in investment	-12,116	-3,637	828	800	800
Others	-3,301	-924	-	-	-
Free cash flow	11,152	-61,530	-143,102	-115,802	-43,359
Financing cash flow	22,585	94,507	147,792	161,043	118,366
Change in Capital	-	-	-	-	-
Net Change in Debt	22,605	61,214	147,792	161,043	118,366
Others	-20	33,293	-	-	-
Exchange influence	9,600	-5,898	-	-	-
Net increase in cash	18,320	28,417	5,518	46,041	75,807

Key Financial Ratios					
	2024	2025	2026E	2027E	2028E
Growth					
Revenue growth	2.3	8.4	22.4	22.2	13.6
Operating profit growth	-2.9	29.6	83.7	60.0	25.8
Net profit growth	2.4	25.2	81.9	58.4	25.3
Profitability					
Gross profit margin	16.3	17.7	21.5	24.7	26.2
Operating Profit Margin	6.6	7.9	11.8	15.4	17.1
Net profit margin	5.5	6.3	9.4	12.1	13.4
Key Ratio					
ROA	4.4	4.6	6.6	8.3	9.0
ROE	9.4	10.9	17.6	23.9	26.0
Stability					
Gross debt/equity	1.1	1.4	1.7	1.9	1.9
Interest Coverage	-17	-15	17	19	17
Current Ratio	1.2	1.3	1.0	1.0	0.9
Quick Ratio	0.9	1.0	0.8	0.7	0.7
Net debt/equity	0.6	0.7	1.0	1.1	1.2

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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